Practice workbook · Irrecoverable debts and the provision for irrecoverable debts: why and how they differ

Explaining or judging why a business allows for debts that may not be paid (usually through prudence and accruals), telling a debt known to be lost apart from an estimate of possible losses, and deciding which treatment suits a situation.

13 question parts: 1 worked-example retry and 12 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-ADJ-07

# 1. Question 1 · part b · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

**1** Romala, a sole trader, buys and sells goods on credit only.

On 31 August 2024, she provided the following information.

| Balance at 1 September 2023 | $ |
|---|---|
| Bank | 21 550 |
| Inventory | 39 500 |
| Motor vehicles – carrying value | 30 000 |
| Other payables – general expenses | 1 750 |
| Trade payables | 37 500 |
| Trade receivables | 48 200 |

**Bank summary**

| Receipts | $ | Payments | $ |
|---|---|---|---|
| Trade receivables | 215 000 | Trade payables | 135 125 |
| | | Drawings | 21 900 |
| | | Wages | 10 550 |
| | | General expenses | 16 125 |
| | | Motor expenses | 8 900 |

**Additional information at 31 August 2024**

- Closing inventory was valued at $32 600
- Motor vehicles are depreciated at 25% per annum on a reducing balance basis. There had been no purchases or disposals of motor vehicles during the year.
- Irrecoverable debts of $850 were to be written off.
- Profit for the year as a percentage of revenue was 20%.
- During the year, total sales were $235 000 and total purchases were $139 875
- Other receivables for general expenses were $950

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA



P 7 5 9 4 2 A 0 2 1 2

# 1. Question 1 · part b · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(a) Calculate, at 31 August 2024, the:

(i) trade receivables

**(4)**

(ii) trade payables.

**(3)**

OLevels.COM SCHOOL

# 1. Question 1 · part b · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

(iii) Prepare the statement of financial position at 31 August 2024.

(13)

**Romala**
**Statement of financial position at 31 August 2024**

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

# 1. Question 1 · part b · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

# 1. Question 1 · part b · 5 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part b only.

Romala is concerned about the number of irrecoverable debts and is considering creating a provision for irrecoverable debts.

(b) Discuss, referring to appropriate accounting concepts, whether Romala should create a provision for irrecoverable debts.

**(5)**

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

**(Total for Question 1 = 25 marks)**

## 1. Question 1 · part b · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

## 2. Question 18 · part e · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

**18** (a) Explain **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

Xi provided the following information at 1 May 2022

| Account | $ |
|---|---|
| Trade receivables | 18 600 |
| Provision for irrecoverable debts | 744 |

(b) Calculate the rate of the provision for irrecoverable debts.

(1)

On 30 April 2023 trade receivables were $21 500

An irrecoverable debt of $750 was to be written off.

(c) Calculate at 30 April 2023:

(i) trade receivables

(1)

(ii) provision for irrecoverable debts.

(1)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

## 2. Question 18 · part e · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(iii) Prepare the provision for irrecoverable debts account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(4)

**Provision for Irrecoverable Debts Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |

OLevels.com SCHOOL

(d) Identify, indicating with a tick (✓), where the balance of each account would be shown in a statement of financial position.

(2)

| Account | Non-current assets | Current assets | Non-current liabilities | Current liabilities |
|---|---|---|---|---|
| Provision for depreciation | | | | |
| Provision for irrecoverable debts | | | | |

## 2. Question 18 · part e · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part e only.

(e) Explain why the prudence concept applies when creating a provision for irrecoverable debts.

**(3)**

(f) State **one** way in which Xi could reduce his irrecoverable debts.

**(1)**

**(Total for Question 18 = 15 marks)**

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN

OLevels.COM SCHOOL

## 2. Question 18 · part e · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

## 3. Question 17 · part e · 5 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

**17** (a) Complete the table below, indicating with a tick (✓) which account will be debited and which account will be credited when writing off an irrecoverable debt.

**(2)**

| Account | Debit | Credit |
|---|---|---|
| Trade receivables control | | |
| Irrecoverable debts | | |

(b) State **two** accounting concepts that apply when writing off an irrecoverable debt.

**(2)**

1 .....

2 .....

Nyan maintains a provision for irrecoverable debts of 5% of trade receivables.

On 1 March 2019 the balance of the provision for irrecoverable debts account was $1 845

On 29 February 2020 trade receivables were $42 520. This included $380 that Nyan considered to be irrecoverable.

(c) Calculate the balance of the provision for irrecoverable debts at 29 February 2020.

**(2)**

.....

.....

.....

.....

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

## 3. Question 17 · part e · 5 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

DO NOT WRITE IN THIS AREA

(d) Prepare the provision for irrecoverable debts account for the year ended 29 February 2020. Balance the account at this date and bring down the balance on 1 March 2020.

(4)

**Provision for Irrecoverable Debts Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |

OLevels.com — SCHOOL —

DO NOT WRITE IN THIS AREA

(e) Evaluate the reasons why it is necessary for a business to create a provision for irrecoverable debts.

(5)

**(Total for Question 17 = 15 marks)**

## 3. Question 17 · part e · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

# 4. Question 17 · part a · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part a only.

**17** (a) Explain **one** reason why a business may find it necessary to make a provision for irrecoverable debts.

**(2)**

.....

.....

.....

.....

(b) Identify, indicating with a tick (✓), the classification of each of the following in the statement of financial position.

(i) Rent expense prepaid

**(1)**

| | |
|---|---|
| Other payables | |
| Other receivables | |
| Provision | |

(ii) Wages accrued

**(1)**

| | |
|---|---|
| Other payables | |
| Other receivables | |
| Provision | |

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

**20**

P 6 6 4 6 7 A 0 2 0 2 4

## 4. Question 17 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

## 5. Question 10 · part whole · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

**10** Identify when a provision for irrecoverable debts should be created.

- ☒ **A** When irrecoverable debts are written off
- ☒ **B** When a trader ceases trading
- ☒ **C** When a trader is bankrupt
- ☒ **D** When assessing the chances of irrecoverable debts

**(Total for Question 10 = 1 mark)**

WRITE IN THIS AREA

Working and answer

OLevels.com SCHOOL

## 6. Question 2 · part d.i · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d.i only.

**2** Amira, a sole trader, does not keep full accounting records. She has provided the following information.

| | 1 April 2020 $ | 31 March 2021 $ |
|---|---|---|
| Motor vehicle | | |
| Cost | 40 000 | 50 000 |
| Accumulated depreciation | 19 520 | **To be calculated** |
| Land | 31 670 | 31 670 |
| Cash at bank | 1 350 | 1 650 Cr |
| Inventory | 21 500 | 24 000 |
| Other receivables - insurance | 1 500 | – |
| Trade payables | 32 000 | 31 000 |
| Trade receivables | 34 500 | 37 500 |

During the year ended 31 March 2021 Amira sold her motor vehicle for $22 940.

In addition, she purchased a new motor vehicle costing $50 000. Motor vehicles are depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

Amira borrowed $50 000 as an interest free loan repayable in five equal annual instalments. The first instalment was paid on 31 March 2021.

Her cash drawings during the year amounted to $25 000 and she also took goods costing $5 000 for her personal use.

At 31 March 2021 irrecoverable debts of $2 500 were to be written off. A provision for irrecoverable debts of 5% was to be created.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

6

P 6 6 4 6 9 A 0 6 1 2

## 6. Question 2 · part d.i · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d.i only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

**BLANK PAGE**

## 6. Question 2 · part d.i · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d.i only.

(a) Prepare the statement of affairs (statement of financial position) at 1 April 2020.

**(4)**

**Amira**
**Statement of affairs at 1 April 2020**

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

## 6. Question 2 · part d.i · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d.i only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(b) Prepare the statement of affairs (statement of financial position) at 31 March 2021.

**(11)**

**Amira**
**Statement of affairs at 31 March 2021**

OLevels.com SCHOOL

## 6. Question 2 · part d.i · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d.i only.

(c) Prepare the equity account for the year ended 31 March 2021 to show the profit or loss for the year.

(5)

**Equity Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |

(d) Explain, referring to a relevant accounting concept, why Amira:

(i) introduced a provision for irrecoverable debts

(2)

(ii) used the reducing balance method rather than the straight line method of depreciating her motor vehicle.

(3)

**(Total for Question 2 = 25 marks)**

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

## 6. Question 2 · part d.i · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

# 7. Question 2 · part c.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

**2** Ali provides consultancy services to local businesses.
He provided the following information.

| | At 1 May 2021 $ | At 30 April 2022 $ |
|---|---|---|
| Motor vehicle – Cost | 34 000 | To be calculated |
| Motor vehicle – Provision for depreciation | 12 000 | |
| Provision for irrecoverable debts | 140 | |
| Equity | 17 100 | |
| Bank loan | 2 500 | 1 800 |
| Bank overdraft | 5 140 | 2 060 |
| Other payables – wages | 210 | – |
| Other payables – fuel | 310 | 480 |
| Trade receivables – income owing | 2 800 | 3 270 |
| Other receivables – office rent and rates | 600 | 1 200 |
| Other receivables – insurance | – | 110 |

OLevels.COM SCHOOL

**During the year ended 30 April 2022**

- Total income received was $71 690
- Ali took total drawings of $35 350
- The following payments were made:
  - wages $15 920
  - fuel $8 140
  - insurance $660
  - office rent and rates $7 800
  - bank loan and interest repayments $740

**Additional information**

- The motor vehicle is depreciated using the straight line method over five years. The estimated residual value of the motor vehicle at the end of year five is $4 000
- At 30 April 2022, income owing to Ali of $3 270 included an irrecoverable debt of $70
- Ali wishes to maintain a provision for irrecoverable debts of 5% of trade receivables.
- The balance on the bank loan is repayable in 2024.

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

# 7. Question 2 · part c.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

(a) Prepare the income statement for the year ended 30 April 2022.

**(12)**

**Ali**
**Income statement for the year ended 30 April 2022**

| | $ | $ |
|---|---|---|
| Income | | |
| Wages | | |
| Fuel | | |
| Insurance | | |
| Depreciation | | |
| Office rent and rates | | |
| Irrecoverable debts | | |
| Provision for irrecoverable debts | | |
| Bank interest | | |
| Profit for the year | | |

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

P 7 1 5 7 7 A 0 7 1 2

# 7. Question 2 · part c.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

(b) Prepare the statement of financial position at 30 April 2022.

(8)

**Ali**
**Statement of financial position at 30 April 2022**

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8

P 7 1 5 7 7 A 0 8 1 2

## 7. Question 2 · part c.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

DO NOT WRITE IN THIS AREA

(c) (i) Explain why the **prudence** concept should be applied when writing off an irrecoverable debt.

**(3)**

(ii) Explain why the **accruals** concept should be applied when providing for depreciation of a motor vehicle.

**(2)**

DO NOT WRITE IN THIS AREA

**(Total for Question 2 = 25 marks)**

OLevels.COM SCHOOL

## 7. Question 2 · part c.i · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

# 8. Question 1 · part c.i · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

**1** On 1 May 2021 Sajjan started a business with capital of $75 000.

She provided the following information on 30 April 2022.

**Bank summary**

| Receipts | $ | Payments | $ |
|---|---|---|---|
| Capital | 75 000 | Drawings | 31 750 |
| Trade receivables | 165 200 | Motor vehicle | 40 000 |
| Balance c/d | 3 225 | Office expenses | 18 975 |
| | | Rent and rates | 14 600 |
| | | Trade payables | 104 200 |
| | | Wages and salaries | 28 900 |
| | | Motor expenses | 5 000 |
| | 243 425 | | 243 425 |
| | | Balance b/d | 3 225 |

- Closing inventory was valued at $36 000
- The carrying value of the motor vehicle was $38 000
- Trade receivables were $51 700 and trade payables were $42 500
- A provision for irrecoverable debts of 5% of trade receivables was created.
- Wages and salaries of $2 100 were owing and rent and rates of $1 400 were paid in advance.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA



P 7 1 5 7 5 A 0 2 1 2

# 8. Question 1 · part c.i · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

(a) Prepare the income statement for the year ended 30 April 2022.

(10)

**Sajjan**
**Income statement for the year ended 30 April 2022**

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

# 8. Question 1 · part c.i · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

(b) Prepare the statement of financial position at 30 April 2022.

(10)

**Sajjan**
**Statement of financial position at 30 April 2022**

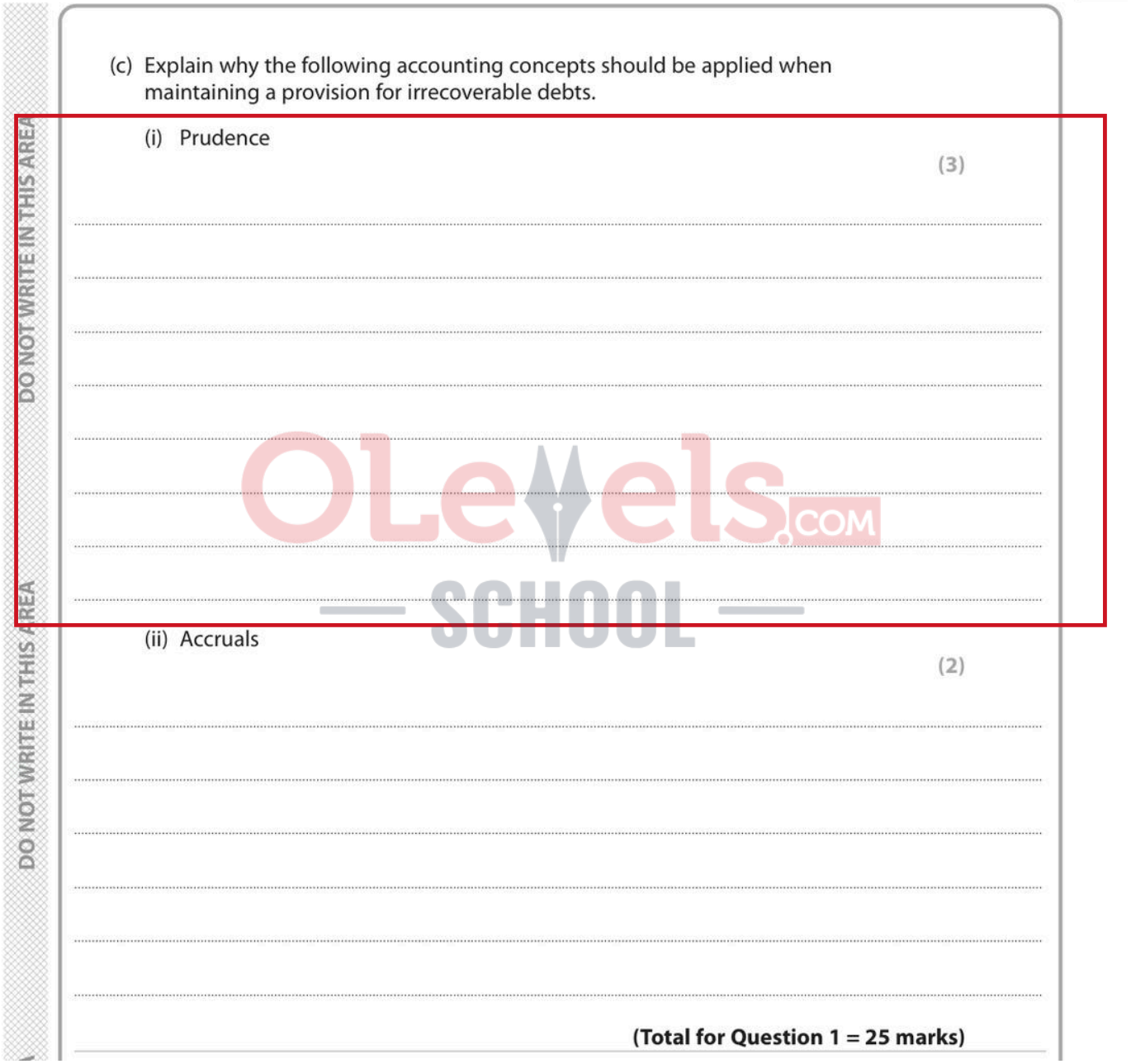
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

## 8. Question 1 · part c.i · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.



(c) Explain why the following accounting concepts should be applied when maintaining a provision for irrecoverable debts.

(i) Prudence

(3)

(ii) Accruals

(2)

**(Total for Question 1 = 25 marks)**

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

## 8. Question 1 · part c.i · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

# 9. Question 1 · part c.ii · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

**1** On 1 May 2021 Sajjan started a business with capital of $75 000.

She provided the following information on 30 April 2022.

**Bank summary**

| Receipts | $ | Payments | $ |
|---|---|---|---|
| Capital | 75 000 | Drawings | 31 750 |
| Trade receivables | 165 200 | Motor vehicle | 40 000 |
| Balance c/d | 3 225 | Office expenses | 18 975 |
| | | Rent and rates | 14 600 |
| | | Trade payables | 104 200 |
| | | Wages and salaries | 28 900 |
| | | Motor expenses | 5 000 |
| | 243 425 | | 243 425 |
| | | Balance b/d | 3 225 |

- Closing inventory was valued at $36 000
- The carrying value of the motor vehicle was $38 000
- Trade receivables were $51 700 and trade payables were $42 500
- A provision for irrecoverable debts of 5% of trade receivables was created.
- Wages and salaries of $2 100 were owing and rent and rates of $1 400 were paid in advance.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

# 9. Question 1 · part c.ii · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

(a) Prepare the income statement for the year ended 30 April 2022.

(10)

**Sajjan**
**Income statement for the year ended 30 April 2022**

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

# 9. Question 1 · part c.ii · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

(b) Prepare the statement of financial position at 30 April 2022.

(10)

**Sajjan**
**Statement of financial position at 30 April 2022**

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

## 9. Question 1 · part c.ii · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

DO NOT WRITE IN THIS AREA

(c) Explain why the following accounting concepts should be applied when maintaining a provision for irrecoverable debts.

(i) Prudence

(3)

(ii) Accruals

(2)

**(Total for Question 1 = 25 marks)**

OLevels.com SCHOOL

## 9. Question 1 · part c.ii · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

## 10. Question 2 · part a.i · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part a.i only.

**2** (a) (i) Explain how the creation of a provision for irrecoverable debts is an application of the prudence concept.

**(3)**

(ii) Explain how the recording of goods taken by the owner is an application of the business entity concept.

**(2)**

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8

P 7 8 7 9 2 A 0 8 1 2

## 10. Question 2 · part a.i · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

## 11. Question 13 · part b · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part b only.

**13** (a) State **one** accounting concept applied when making a provision for irrecoverable debts.

**(1)**

.....

(b) State **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

**(2)**

.....

.....

.....

.....

(c) Identify, indicating with a tick (✓), in which section of the financial statement each would appear.

**(2)**

| | Income statement | | Statement of financial position | |
|---|---|---|---|---|
| | **Income** | **Expenses** | **Current assets** | **Current liabilities** |
| Decrease in provision for irrecoverable debts | | | | |
| Balance of provision for irrecoverable debts account | | | | |

**(Total for Question 13 = 5 marks)**

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com — SCHOOL

## 11. Question 13 · part b · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

## 12. Question 18 · part a · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part a only.

**18** (a) Explain **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

Xi provided the following information at 1 May 2022

| Account | $ |
|---|---|
| Trade receivables | 18 600 |
| Provision for irrecoverable debts | 744 |

(b) Calculate the rate of the provision for irrecoverable debts.

(1)

On 30 April 2023 trade receivables were $21 500

An irrecoverable debt of $750 was to be written off.

(c) Calculate at 30 April 2023:

(i) trade receivables

(1)

(ii) provision for irrecoverable debts.

(1)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM — SCHOOL —

## 12. Question 18 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

## 13. Question 17 · part b · 5 marks

2025 JUN · Paper 01

Further practice · Attempt part b only.

**17** Archie provided the following information for the month of March 2025.

At 1 March 2025, Archie owed credit suppliers $26 330

| During the month of March 2025 | $ |
|---|---|
| Cash purchases | 8 412 |
| Cheque payment to supplier dishonoured | 160 |
| Discount allowed | 1 188 |
| Discount received | 945 |
| Payments to credit suppliers | 35 780 |
| Purchases day book total | 34 570 |
| Purchases returns day book total | 1 227 |
| Receivables ledger set off | 340 |

At 31 March 2025, Archie had overpaid a credit supplier $220

(a) Prepare the trade payables control account for the month of March 2025. Balance the account on 31 March 2025 and bring the balances down on 1 April 2025.

**(10)**

**Trade Payables Control Account**

| Date 2025 | Details | $ | Date 2025 | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |
| | | | | | |

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

## 13. Question 17 · part b · 5 marks

2025 JUN · Paper 01

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Archie also maintains a trade receivables control account.

He suspects that not all customers will pay the full amount of their debts. He is considering two options:

Option 1: write off a percentage of his trade receivables as irrecoverable

Option 2: make a provision for irrecoverable debts.

(b) Discuss, with reference to an accounting concept, which action he should take.

**(5)**

OLevels.com SCHOOL

**(Total for Question 17 = 15 marks)**

## 13. Question 17 · part b · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL